

Charter of the Pakistan Muccadam Association (PMA)

Working Structure and Scope of Functions

1. Representation on Muccadam Charges

The Pakistan Muccadam Association shall work collectively with all member Muccadam companies on matters relating to Muccadam charges.

The Association shall:

- Advocate for fair, realistic, and economically justified revision of Muccadam charges
- Present collective representations to banks based on inflation, operational costs, risk exposure, and compliance obligations.
- Act as a unified professional voice for all member Muccadam companies rather than individual representations

2. Legal Support and Protection for Members

The Association shall provide support and assistance to member Muccadam companies in relation to legal challenges, including

- Disputes arising with banks.
- Matters related to pledged stock, custodial responsibilities, and liabilities.
- Legal notices, inquiries, and proceedings.

The Association shall also facilitate legal guidance and advisory support, along with development of collective legal strategies and coordinated legal representation where deemed appropriate for all members of the association.

3. Professional and Legal Support to Banks

The Pakistan Muccadam Association shall operate on the principle of cooperation rather than confrontation. Accordingly, the Association shall:

- Provide professional and advisory support to banks in matters relating to pledge management, stock supervision, and legal frameworks.

- Assist in clarifying responsibilities and reducing disputes between banks and Muccadam companies.

4. Advisory Support to Member Muccadam Companies

The Association shall advise and guide member Muccadam companies in situations where they face operational challenges, ambiguity in banking instructions or contractual terms.

Such advisory services shall be aimed at preventive risk management and dispute avoidance.

5. Professional Standards and Ethics

The Association shall promote and uphold professional conduct, Integrity & transparency and accountability and compliance among its members, with the objective of maintaining consistent and reliable Muccadam services across Pakistan.

6. Policy Engagement and Stakeholder Coordination

The Association shall engage with banks and other stakeholders at a policy level. It would advocate for frameworks that ensure sustainability for Muccadam companies while safeguarding banks' interests

The Association shall adopt a unified and collective stance on industry-wide operational challenges, the policy changes affecting Muccadam services, security deposit requirements and liability frameworks to ensure clarity, fairness, and consistency.

7. Constructive and Non-Adversarial Approach

The association shall function as a professional body committed to constructive dialogue, mutual trust, banking sector stability and shall not engage in confrontation or disruptive practices.

8. Role in Strengthening the National Banking System

The Pakistan Muccadam Association recognizes that a stable and professionally managed Muccadam sector is essential for a secure banking system, sustainable service providers contribute directly to financial system integrity